AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

MTA

2025-2026 / Fall Semester

Version C

6-December-2025

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lumber of Exam Pages: 3 ıcluding this cover sheet)	Time Allowed: 2 Hours

structions:

ke **FIVE (5)** minutes to read all instructions carefully before attempting to write.
obile phones must be in "SWITCHED **OFF**" mode throughout the examination.
is is a **CLOSED** book examination. NO documents of any kind are allowed.
ıu **MUST** answer the questions using only the answer booklets provided.
ıu **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except for graphs/sketches.
ıdents are **NOT** allowed to use any type of dictionary or mobile phones during the examinati
ıdents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Questions 1 (40 marks)

John owns a small business selling coffee makers to other businesses. On 31st December 2022, he extracted the following trial balance.

Account Name	Debit $	Credit $
Sales Revenue		649,800
Sales returns	11,520	
Opening inventory	42,300	
Purchases	325,296	
Purchase returns		11,520
Freehold property	151,200	
Equipment at cost	72,000	
Accumulated depreciation on equipment		10,800
Motor vehicle	77,400	
Accumulated depreciation on motor vehicle		12,960
Salaries and Wages	21,600	
Insurance	5,760	
Motor expenses	9,000	
Advertising expenses	5,400	
Loan interest	7,200	
Receivables	73,800	
Allowance for receivables		5,400
Payables		54,900
Cash at bank	287,604	
Bank loan		61,200
Capital		283,500
Total	**1,090,080**	**1,090,080**

The following information is relevant.

1. Closing inventory was valued at $62,400.
2. Equipment is depreciated by 25% on a reducing balance basis.
3. Motor vehicles are depreciated by 20% on a reducing balance basis.
4. Accrued wages at the end of 2022 amount to $10,800.
5. On 1 August 2022 Johns paid $4,800 for insurance which is valid until 31 July 2023.
6. Irrecoverable receivables of $4,800 need to be written off.

Required:

a. Prepare John's income statement for the year ending 31st December 2022.

b. Prepare John's balance sheet as at December 2022.

[20 + 20 = 40 marks]

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Question 2 (20 marks)

Assurance is essential in improving the trustworthiness and accuracy of information that stakeholders depend on for making informed decisions. It helps build confidence between information providers, like companies, and users, including investors, regulators, and creditors. Describe the concepts of positive assurance and negative assurance.

Question 3 (20 marks)

For accounting information to be valuable in helping stakeholders make decisions, it must have specific attributes known as qualitative characteristics. Describe these qualitative characteristics of accounting information.

Question 4 (20 marks)

a. Describe the concepts of ordinary and preference shares. **(5 marks)**

b. A new company, Start Ltd, issues 12,000 ordinary shares with a nominal value of £2 issued at a price of £16, and 30,000 preference shares with a nominal value of 50p, issued at a price of £7.

Required

Calculate the ordinary share capital and premium, and the preference share capital and premium for Start Ltd. **(15 marks)**

End of Questions

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